

NVIDIA Corporation

NVDA — Q1 FY2026 Earnings Call Transcript (Illustrative, Condensed)

Call held May 2025

Speakers: Chief Executive Officer, Chief Financial Officer

Q&A; Participants: institutional equity research analysts (fictional, for demo purposes only)

Prepared Remarks (Condensed)

The Chief Executive Officer opened by describing the current period as an inflection point for AI infrastructure buildout, noting that data center customers are moving from experimentation to large-scale production deployment of generative AI applications. The Chief Financial Officer reiterated that gross margins are expected to remain in the mid-70% range for the remainder of the fiscal year as the Company ramps its next-generation platform, and noted that operating expense growth would continue to be weighted toward research and development.

Analyst Q&A; Session

Analyst, Meridian Capital Research

Can you characterize current demand visibility for your next-generation platform relative to the prior generation?

Response: Demand visibility extends across several quarters based on customer commitments, and early orders for the next-generation platform are tracking ahead of the comparable point in the prior product cycle.

Analyst, Highland Partners Equity Research

How are you thinking about the risk of customers developing their own custom AI silicon?

Response: Several large customers are investing in custom accelerators for specific internal workloads, but merchant GPU platforms continue to offer superior flexibility and software ecosystem support for the broad majority of AI workloads, and the Company expects to remain the primary platform for training large models.

Analyst, Brightwater Securities

What is the current contribution of China to data center revenue following export restrictions?

Response: China now represents a substantially smaller share of data center revenue than in prior cycles due to export licensing requirements, and the Company is not assuming a near-term change in that policy environment in its guidance.

Analyst, Cordero & Vance Research

How should we think about gross margin trajectory as the next-generation platform ramps?

Response: Gross margins typically compress modestly during the initial ramp of a new architecture due to cost curves on newer manufacturing processes, before recovering as yields improve, consistent with prior product transitions.

Analyst, Northfield Global Markets

Are you seeing any signs of order push-outs or inventory digestion among hyperscale customers given how large recent shipments have been?

Response: The Company has not seen evidence of broad-based inventory digestion; hyperscale customers continue to report capacity-constrained AI infrastructure and are prioritizing continued buildout over near-term utilization optimization.

Analyst, Priya Ventures Research Group

Can you provide more detail on networking revenue growth and its relationship to overall data center system sales?

Response: Networking revenue grew faster than the overall data center segment as customers increasingly purchase full rack-scale systems rather than individual accelerators, and the Company expects this attach-rate trend to continue as cluster sizes grow.

Analyst, Delacroix & Sto Capital

How should investors think about capital expenditure and free cash flow given the scale of current demand?

Response: The Company is investing ahead of demand in manufacturing capacity commitments and internal infrastructure, but continues to generate substantial free cash flow given the asset-light nature of its fabless manufacturing model relative to capital intensity elsewhere in the AI infrastructure value chain.